

Theoretical Foundation - Syllabus Disconnect

Capital Structure Theory

Syllabus Requires:

- Tradeoff vs. pecking order theories
- Dynamic models of capital structure
- Managerial discretion and CS
- Testing CS theories

Paper Provides:

-  Describes extreme capital structure (equity/liability = 10.9:1)
-  No theoretical explanation using CS theory
-  No test of competing theories
-  No engagement with dynamic models

Corporate Governance Theory

Syllabus Requires:

- Board of Directors: theories and evidence
- Executive compensation
- Governance and equity returns

Paper Provides:

-  Tests CEO gender effect on performance
-  Atheoretical governance variables
-  No data on boards, compensation
-  No agency-theoretic model

 **Grade: WEAK (2/5)** - Limited theoretical engagement relative to syllabus expectations

